Still the lucky country: Conflict, Gold and Inflation to Lift the Budget

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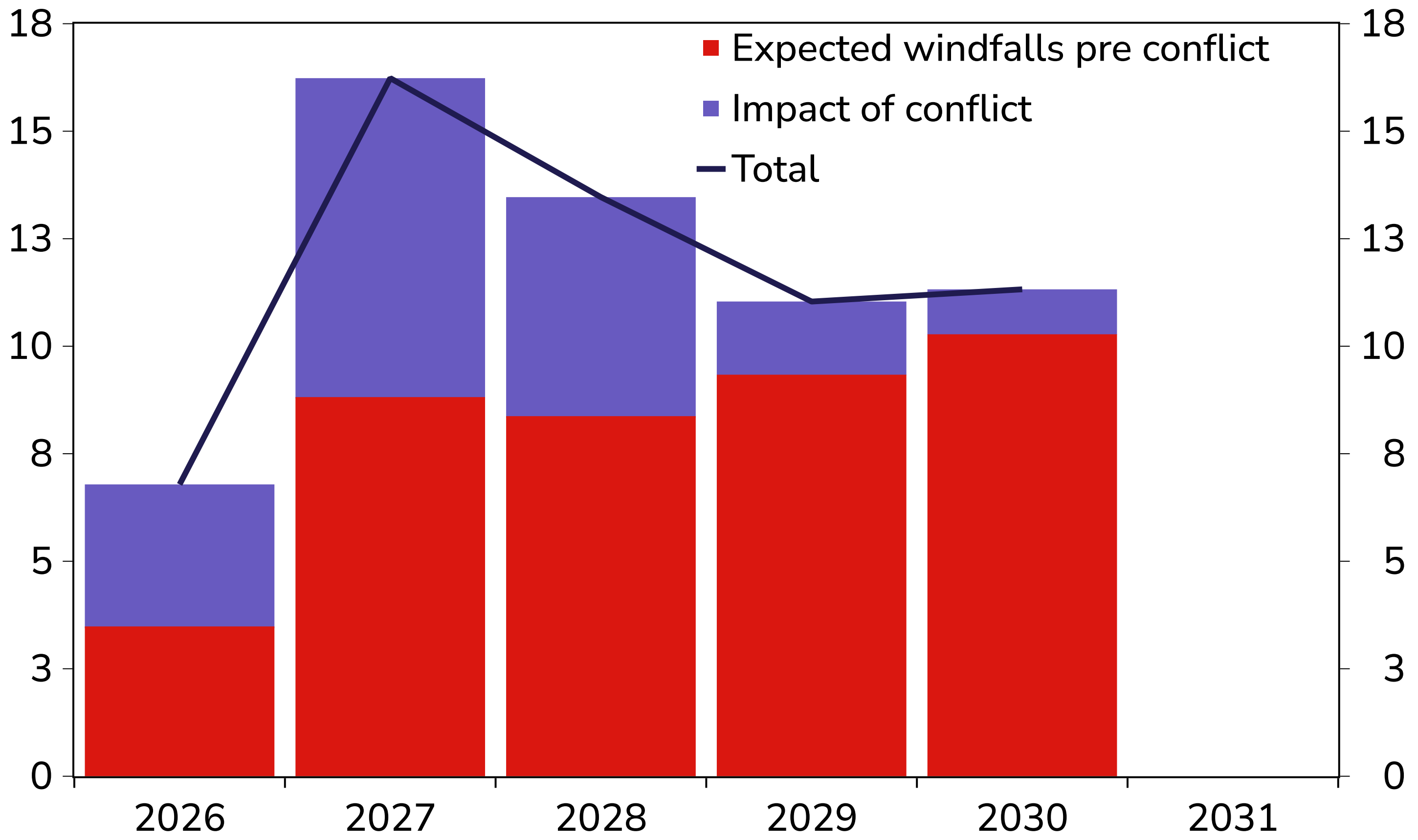
Stronger commodity prices and elevated inflation are boosting nominal incomes and tax collections, driving a net budget improvement.

- Higher-than-assumed commodity prices are expected to deliver the Federal budget a windfall of almost $60bn over the five years to FY30.

- Around $20bn of this uplift reflects the impact of the Middle East conflict, particularly via higher coal and LNG export prices. This more than offsets the $2.6bn cost of halving the fuel excise for three months.
- The run-up in gold prices since FY24 is estimated to add around $19bn to Treasury revenues over the next five years. This broadly aligns with Department of Industry forecasts showing gold export receipts rising by around $40bn in FY26 relative to FY24.
- Higher inflation and the cyclical upswing are boosting nominal incomes, consistent with the March monthly statements showing income and indirect tax revenue were around $7.0bn and $2.5bn ahead of MYEFO estimates, respectively. The inflationary impulse from the conflict is expected to provide further near-term support to revenues.
- We will provide a full update of revenue and expenses before the May Budget.

Expected company tax upgrades

Financial years, $bn



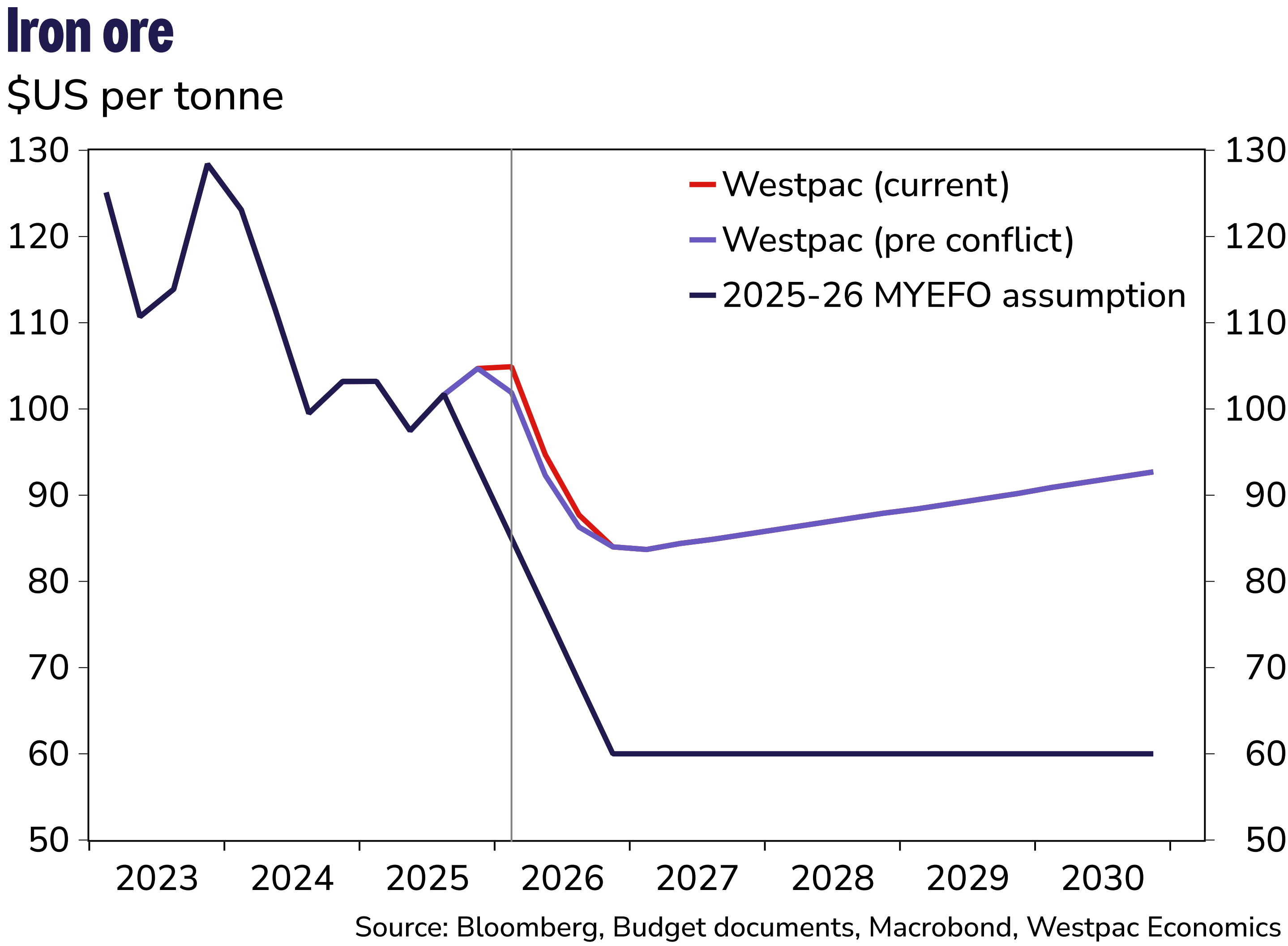
Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Federal Treasurer has warned that the economic fallout from the Middle East conflict could be “just as serious” as the GFC, the COVID-19 pandemic and Russia’s invasion of Ukraine. But there is a countervailing force: higher commodity prices and elevated inflation are lifting Treasury tax collections. Because the tax system operates in the nominal world, tax receipts can continue to rise even as real economic activity slows over the coming years, as we expect.

Using actual spot prices and Westpac commodity price forecasts, we estimate that **higher-than-assumed commodity prices will deliver the Federal budget a windfall of almost $60bn over the five years to FY30**.

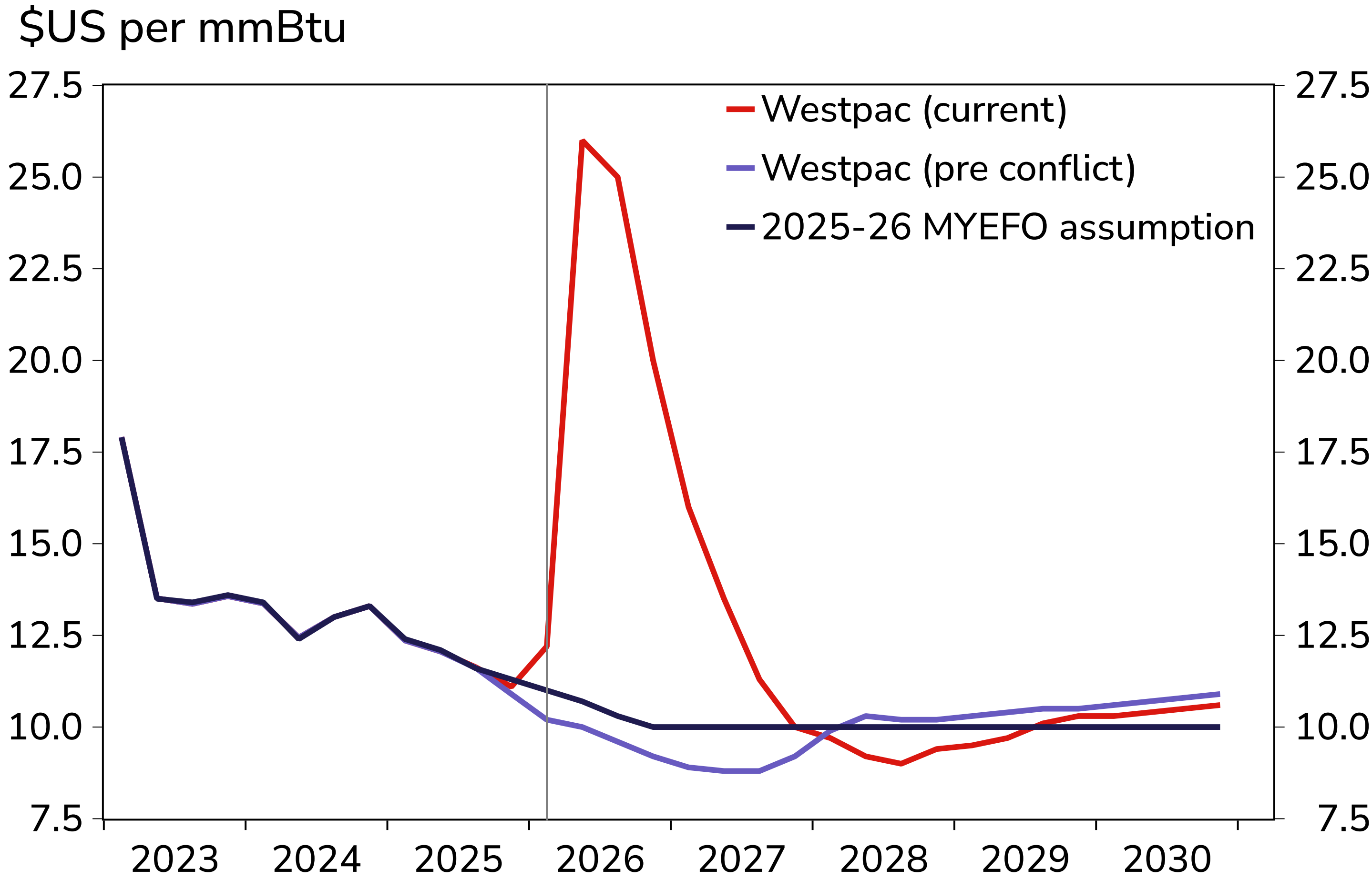
Relaxing some of the conservatism in budget forecasts

It is well known that Treasury's revenue forecasts remain highly conservative, anchored on commodity prices reverting to long-run assumptions. In practice, elevated prices had already proven more persistent before the conflict (see iron ore chart below), and the conflict itself has delivered a further lift.



The Middle East conflict also is pushing energy export prices higher, most notably for coal and LNG export prices. The longer the conflict persists, the greater the upside risk to commodity price forecasts. **At this stage, we estimate that around $20bn of the total budget windfall can be attributed directly to the Middle East conflict, with the gains front-loaded over the next few years. This additional revenue more than offsets the estimated $2.6bn fiscal cost of halving the fuel excise for three months, leaving a substantial net improvement in the budget position.**

LNG export prices



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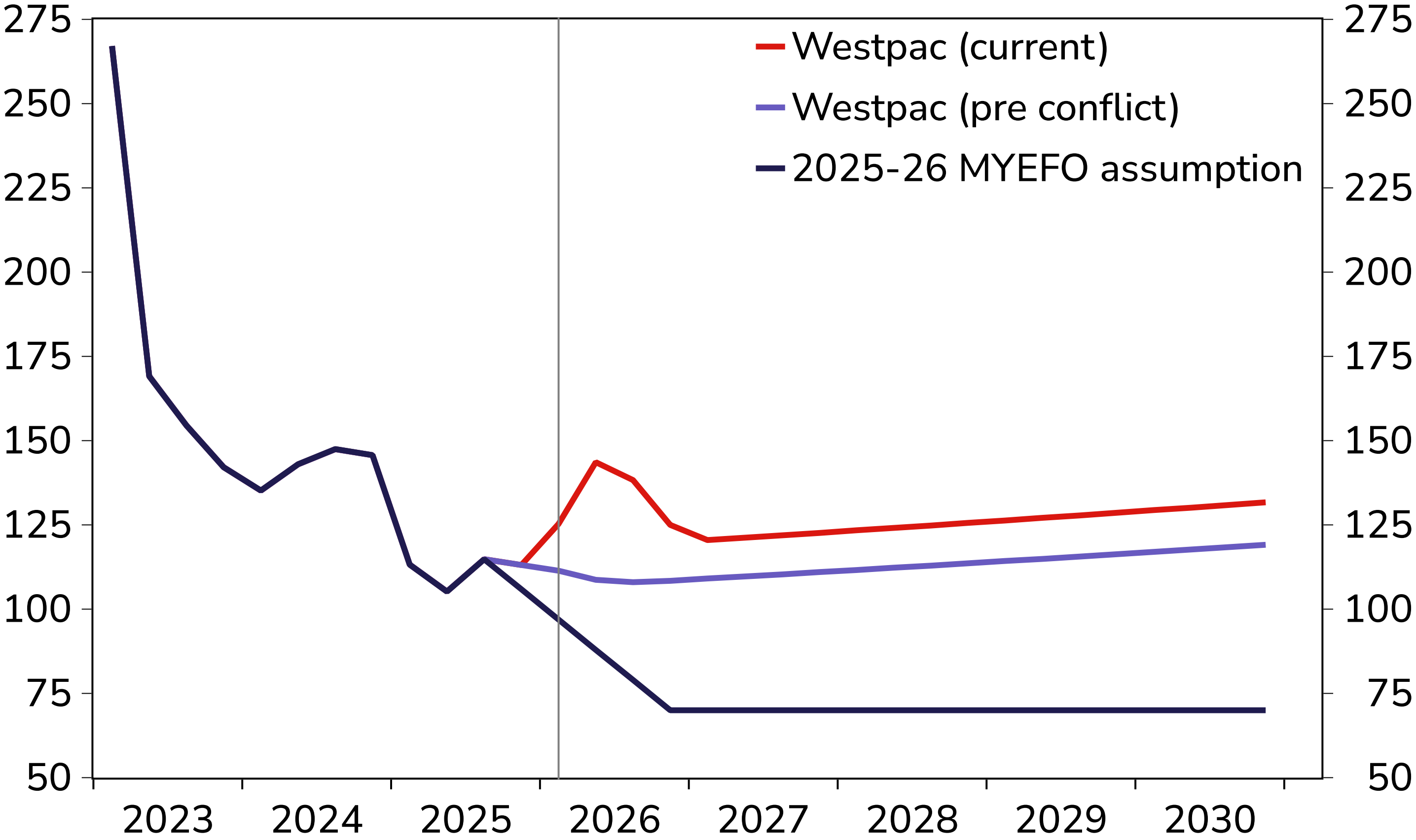
Thermal coal

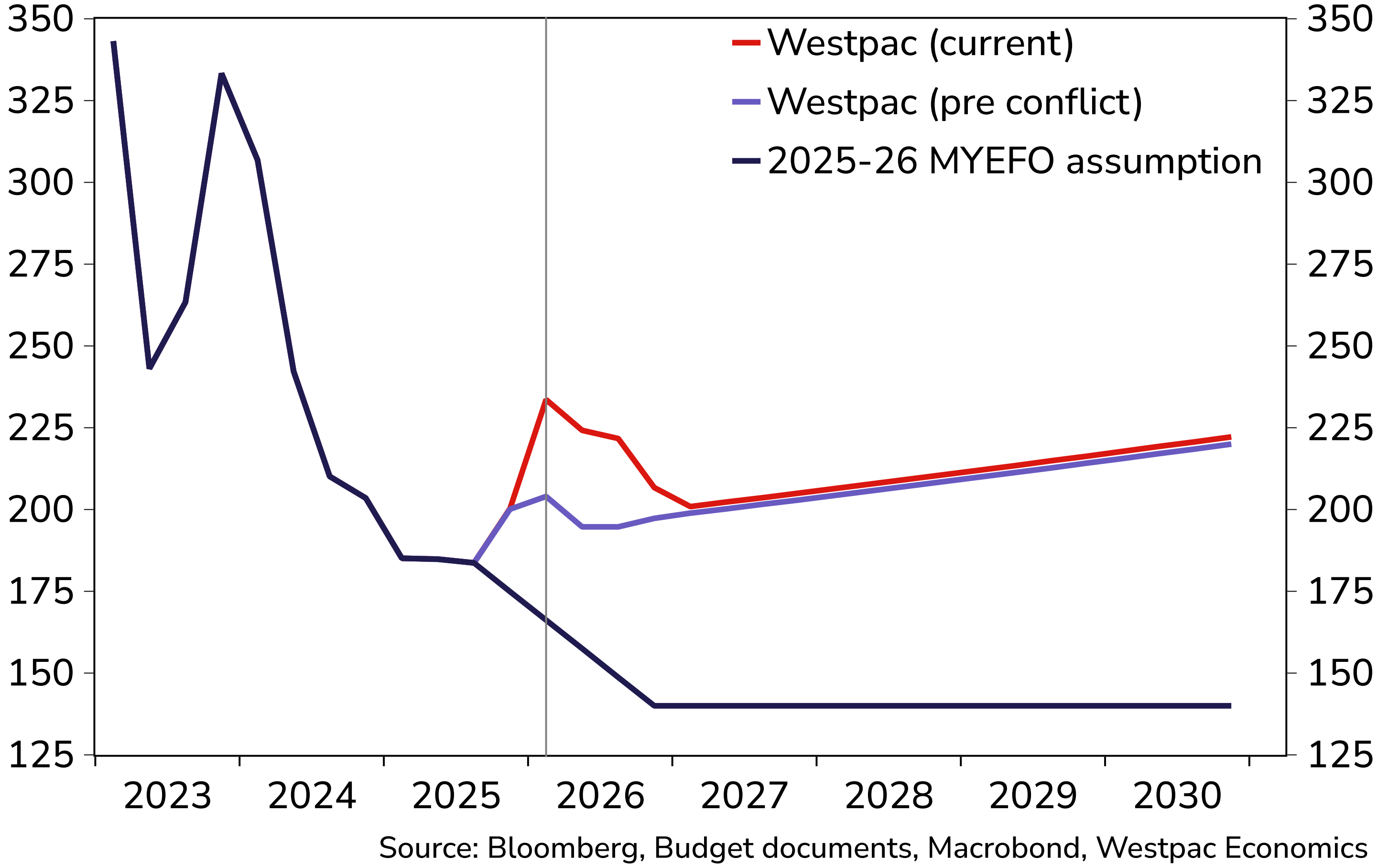
$US per tonne



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Metallurgical coal

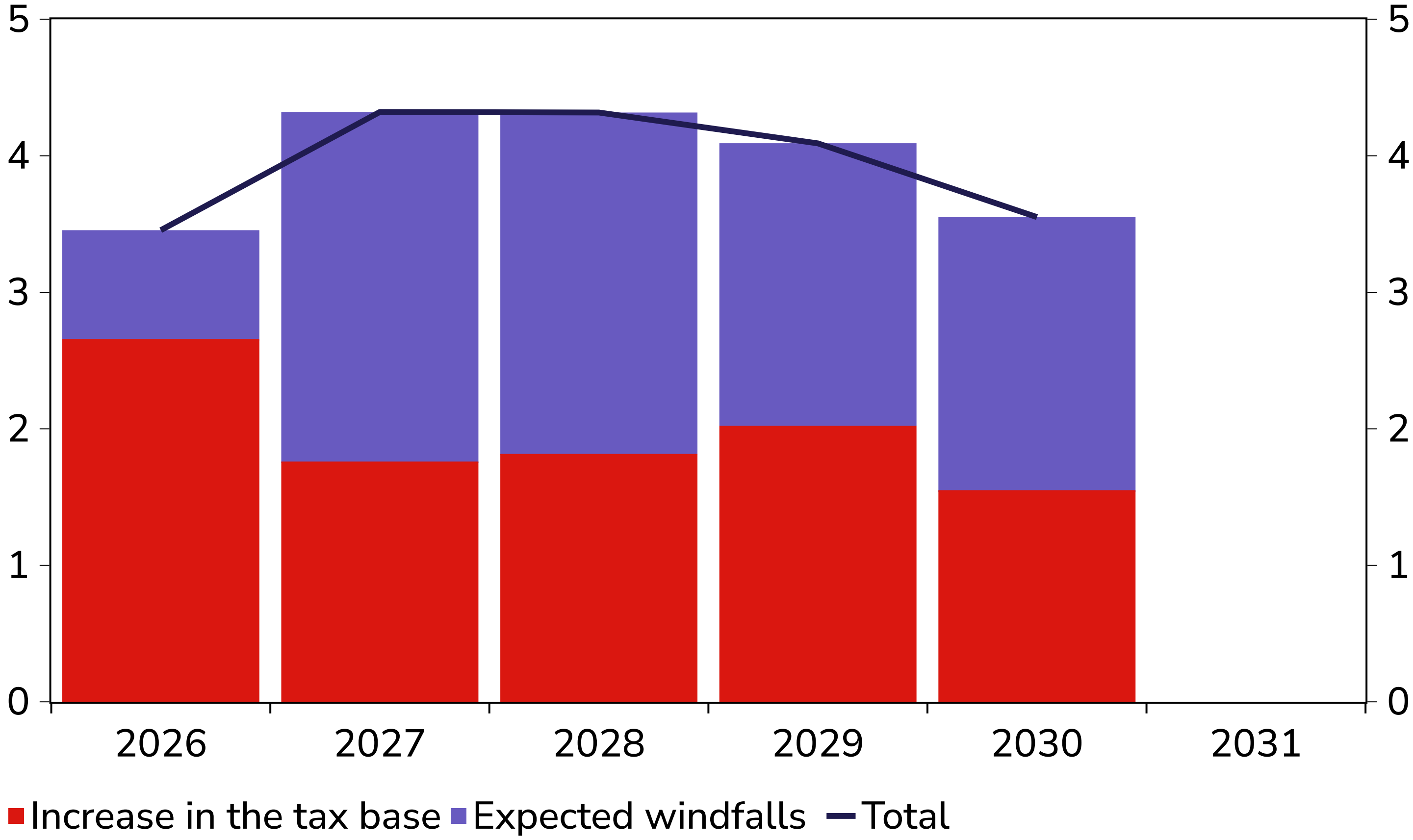
$US per tonne



Gold is also delivering an underappreciated windfall. Following the recent surge in prices, gold is expected to become Australia's second-largest export by value in FY26, overtaking LNG and coal. The run-up in gold prices since FY24 is estimated to add around $19bn to Treasury revenues over the next five years. Despite recent volatility, the gold spot price is currently around US$4,500 an ounce. That's almost double its level at the end of FY24. **We expect some of this revenue uplift to materialise as early as May 2026, when miners make large wash-up tax payments for the completed 2025 tax year.**

Expected tax upgrades due to gold prices

Financial years, $bn

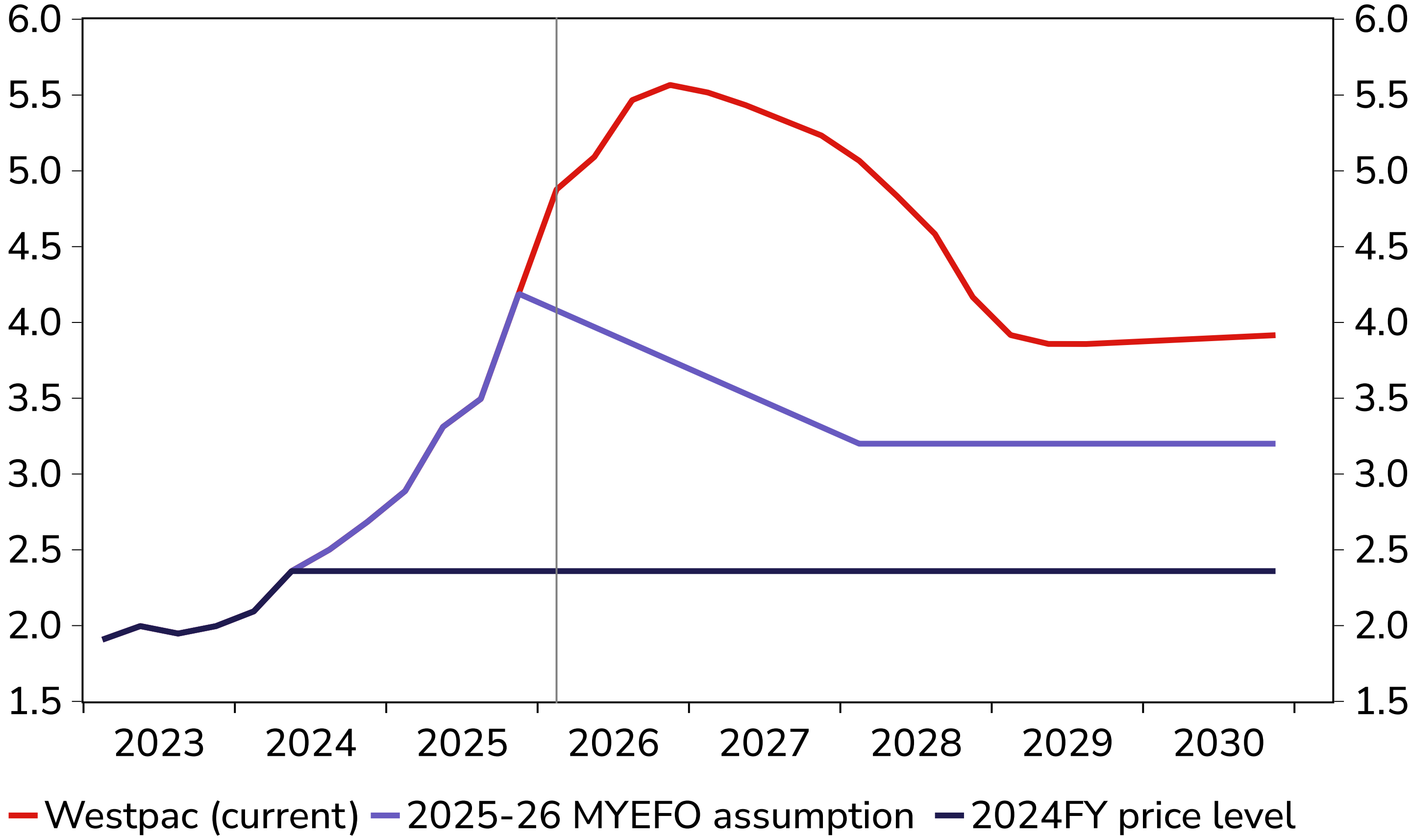


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

As Treasury marks commodity prices to market when updating its forecasts, we estimate that around half of this windfall has already been incorporated into the tax base and revenue forecasts. This is evident in the step-up from the FY2024 prices to those underpinning the 2026 MYEFO (see chart below). The remainder of the windfall is yet to be recognised and is expected to flow through in future budget updates, starting with the May 2026 Budget.

Gold price

Thousands, $US per ounce



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

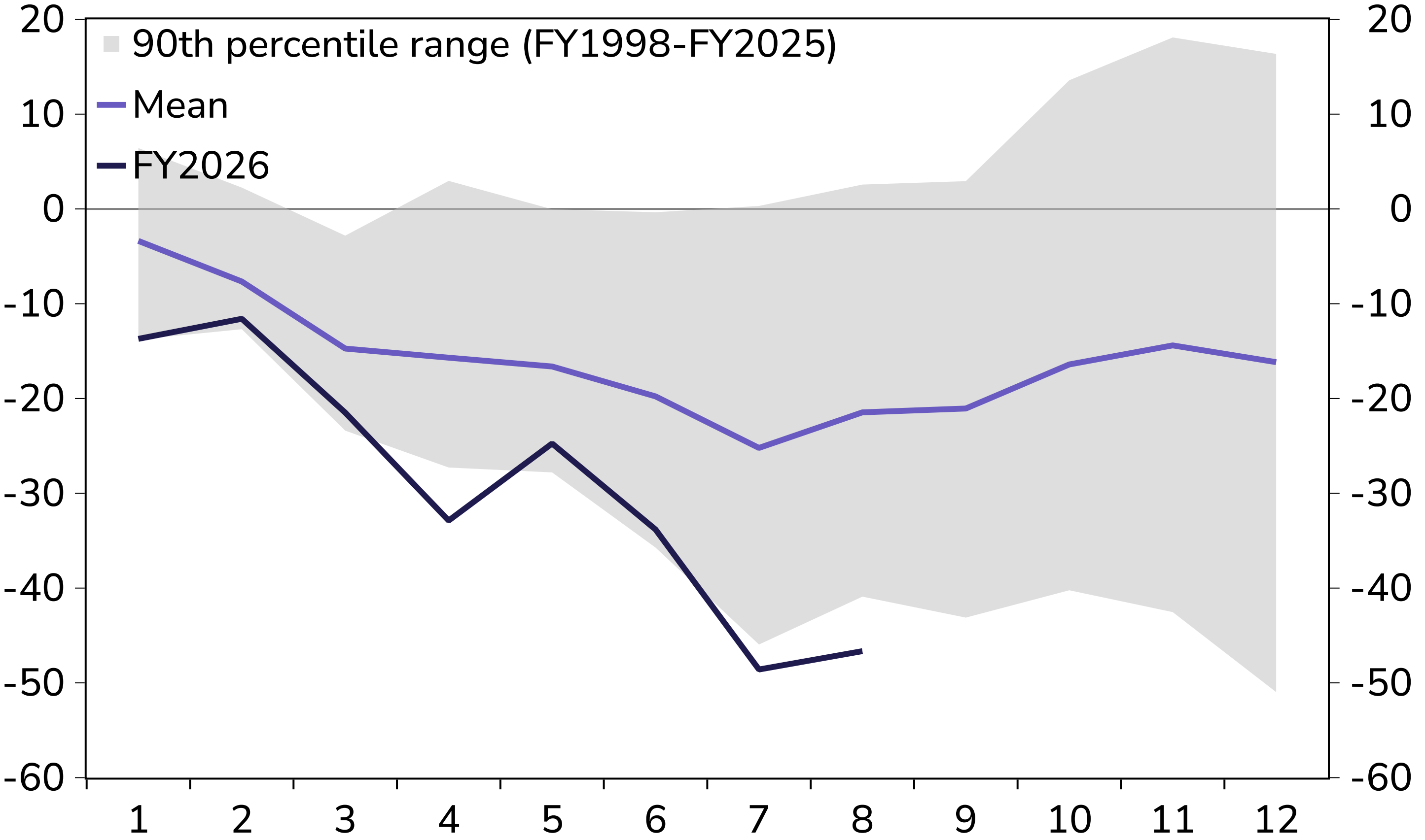
While the gold driven windfalls may seem modest in the context of the overall budget, this represents a genuinely unexpected positive surprise, one that is three times as large as the PRRT and almost as large as the fringe benefits tax base.

What about the other tax bases?

As we have previously noted, Australia's cyclical economic upswing coupled with elevated inflation are boosting nominal incomes and tax bases. This is consistent with the March monthly statements showing income and indirect tax revenue were around $7.0bn and $2.5bn ahead of MYEFO estimates, respectively. More broadly, the underlying balance was $8bn ahead of MYEFO estimates, just a few months after the MYEFO document was published. Despite this, the budget remains deeply in deficit, with the FY2026 year to date position worse than the 90th-percentile outcome recorded over the FY1998–FY2025 period.

Federal government receipts & payments

UCB, Rolling YTD aggregates, $bn



Source: Australian Department of Finance, Macrobond, Westpac Economics

Bottom line

While there will be some offsetting pressures on the payments side of the budget, we expect the revenue uplift to dominate, resulting in a net improvement in the budget position. We will provide a full set of bottom-line estimates ahead of the Budget, incorporating revenue and payments variations, as well as expected policy changes.

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